

Academics have done a good job of quantifying the benefits of asset allocation. There are literally hundreds of papers on the subject, each one complete with an abundance of formulas, equations, acronyms, and industry jargon. I use some of these terms and formulas in an understandable way throughout the book. The concepts are explained as they are introduced. A glossary is provided at the end of the book if you come upon an term you are unsure of.

INVESTMENT SELECTION

Creating an appropriate portfolio is a two-step process. First, people should select an asset allocation mix that is best for their needs. Second, they should select individual investments that best represent those asset classes.

The selection of investments to represent asset classes takes a lot of time because there are thousands of investments to choose from. I try to make the investment selection easy in this book. For further reference, I've also written other books, including *All About Index Funds*, 2nd edition, and *The ETF Book*, 2nd edition.

In general, you are looking for investments that have broad asset class representation and low fees. Index mutual funds and ETFs are a perfect fit for this purpose. They give you broad diversification within an asset class at a reasonable cost. However, you need to be very selective in the funds you buy. There are vast differences in cost and strategy even among index funds and ETFs. One fund may be managed identically to another except that the fees are significantly higher. Another fund may say it tracks a stock market index, but that index is not a traditional market benchmark, and it does not move with the markets.

Another consideration when selecting a fund is how the fund is managed. You can select a passive fund in which the manager attempts to match the performance of a benchmark index that follows a market, or an actively managed fund in which the manager is trying to beat a particular market. I am not an advocate of using actively managed funds. On average, actively managed funds are much more expensive than passive funds, and rarely do active managers have enough skill to overcome the fees and commissions charged.

It is also important to note that the data from market indexes are the backbone for study and design of asset allocation strategies. This makes